Calendar Line 2

Case Name: Vargas Rivera v. Flagship Facility Services, Inc., et al. (Class Action)
Case No.: 23CV421827

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Calendar Lines 3 – 4

Case Name: Kobayashi v. Dfinity USA Research LLC, et al.
Case No.: 23CV415981

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 31, 2024, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is an action arising out of Defendant Dominic Williams' ("Williams") alleged tortious interference with Plaintiff Satoshi Kobayashi's ("Kobayashi") rights concerning his investment in a blockchain project known as Internet Computer Protocol ("ICP" or "ICP Network"). (Complaint, ¶ 1.) Williams promoted ICP from 2016 until its launch on May 10, 2021, and he solicited investments globally. (Complaint, ¶ 2.) Williams served as not only the principal promoter of ICP, but also (1) the CEO of Dfinity USA Research LLC ("Dfinity"), the Palo Alto-based company principally responsible for the operations of ICP, (2) the "Chief Scientist" of the Dfinity Foundation (the "Foundation"), a Swiss nonprofit entity with substantial operations in Palo Alto that has certain administrative responsibilities related to ICP. (Ibid.)

In 2017, Kobayashi invested 15,000 Ethereum ("ETH") tokens (currently worth over $25 million). (Complaint, ¶ 3.) Under the terms of his investment (the "Seed Donation Contract"), he was entitled to: (1) his pro rata share of ICP tokens ("Tokens") to be allocated under a formula that would see early investors receive 78% of the total available Tokens when ICP launched, (2) governance of ICP by a decentralized voting process, and (3) receipt of Tokens that would be freely tradeable upon ICP launch, which turned out to be May 21, 2021. (Ibid.)

Williams' assurances that ICP would not be a "pump-and-dump" scam were empty. (Complaint, ¶¶ 4-5.) Williams and Dfinity tortiously interfered with the rights of ICP seed investors generally and later they targeted Kobayashi specifically. (Complaint, ¶ 5.) Namely, they induced the Foundation to allocation only 27% of Tokens to early investors, ICP was wholly controlled by Williams, Tokens were not freely tradeable at the Network launch, they caused the Foundation to remove or circumvent vesting restrictions on Williams and other insiders, and Kobayashi did not receive his pro rata share of Tokens. (Ibid.) The Tokens traded for hundreds of dollars each at the Network launch, but lost approximately 95% of their value within two months and currently, they trade at approximately $6 per token. (Complaint, ¶ 6.) This occurred as a result of Defendants' conduct and Williams' domineering control of what is supposed to be a decentralized network. (Complaint, ¶ 7.)

In an attempt to avoid investor lawsuit, Williams moved to Switzerland. (Complaint, ¶ 9.) Williams made promises with regarding to the ICP Token allocation to investors and his family members. (Complaint, ¶¶11-12.) Kobayashi complained about unfair treatment regarding last minute restrictions placed on seed investors and he received reassurances from Williams that he would receive his Tokens. (Complaint, ¶ 13.) However, in November 2021, Williams announced that the Foundation would be adopting a proposal to eliminate the mechanism that would have given investors like Kobayashi access to their Tokens later that month. (Complaint, ¶ 14.) He implemented the proposal but picked four individuals, his personal friends, to receive their Tokens, even though they had lost their seed phrases. (Complaint, ¶¶ 14-15.) Williams left no doubt that his actions were aimed towards Kobayashi. (Complaint, ¶ 14.)

The Complaint, filed on May 8, 2023, sets forth the following causes of action: (1) tortious interference with contract; (2) tortious interference with prospective economic advantage; (3) breach of fiduciary duty; (4) conversion; (5) trespass to chattels; and (6) violation of California Unfair Competition Law (Cal. Business & Professions Code § 17200 ("UCL").

Currently before the Court is (1) Specially appearing defendant Williams' motion to quash; and (2) Dfinity's demurrer. Plaintiff has opposed both motions and the defendants have filed replies.

II. WILLIAMS' MOTION TO QUASH

Williams moves to quash service of summons on the grounds that the Court does not have personal jurisdiction over him, and the fiduciary shield doctrine shields him from jurisdiction.

A. Request For Judicial Notice

(1) William's Request

Williams requests judicial notice of the following items:

(1) US Government Form I-94: Exhibit A;

(2) Seed Donation Contract: Exhibit B;

(3) Acknowledgements required of all Seed Donors: Exhibit C; and

(4) Dfinity Stiftung Donation Google Extension: Exhibit D.

Williams argues Exhibit A constitutes an "official act of the legislative, executive, and judicial departments of the United States…" which can be judicially noticed. (See Evid. Code, § 452, subd. (c).) However, it is a screenshot and it does not include any information to indicate that the government website, such as the name of the agency or a seal. Thus, the Court declines to take judicial notice of it.

The Court can take judicial notice of Exhibit B and C as Plaintiff references the Seed Donation Contract throughout the Complaint. (See Align Technology Inc. v. Tran (2009) 179 Cal.App.4th 949, 956, fn. 6 [taking judicial notice of a settlement agreement referenced in the complaint]; Chacon v. Union Pacific Railroad (2020) 56 Cal.App.5th 565, 572 ["The existence and contents of a written agreement may be the proper subject of judicial notice if there is no factual dispute that the document is genuine and accurate].)

Lastly, Exhibit D is a screenshot of the Google Chrome extension for Seed Donors, however, the screenshot contains no information about when it was accessed or when the screenshot was taken.

Thus, Williams' request for judicial notice is GRANTED as to Exhibits B and C, and DENIED as to Exhibits A and D.

(2) Plaintiff's Request

Plaintiff requests judicial notice of:

(1) William's Responsive Declaration for Order in Williams v. Williams (Case No. 19-FL-000381, filed on November 5, 2019: Exhibit 1;

(2) Melissa Williams' Supplemental Declaration in Support of Request for Orders re: Child Support, Temporary Spousal Support and Attorneys' Fees and Costs: Exhibit 2;

(3) Grant Deed signed by Melissa Wiliams and executed in counterpart by Williams: Exhibit 3;

(4) BidMarket's Statement of Information, dated April 6, 2019: Exhibit 4;

(5) TechCrunch Article by Mike Butcher, dated June 28, 2021: Exhibit 5;

(6) New York Times article by Ephrat Livni and Andrew Ross Sorkin, dated June 28, 2021: Exhibit 6;

(7) Sacha William's Declaration in Opposition to Williams' Motion to Quash Subpoena in Case No. 21CV384865, filed February 8, 2023: Exhibit 7;

(8) Legis. Serv., Legis. Couns.'s Dig. S.B. 1325 Ch. 69 § 2, Reg. Sess. 2001-2002: Exhibit 8; and

(9) Williams Declaration in Support of his Motion to Quash in Case No. 21CV384865, filed on Octobre 28, 2022: Exhibit 9.

Exhibits 1, 2, 7, and 9 are all court records, thus the Court can take judicial notice of them. (See Evid. Code, § 452, subd. (d).) However, "with respect to any and all court records, the law is settled that "the court will not consider the truth of the documents contents unless it is an order, statement of decision, or judgment. [Citation.]" (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374-375.)

The Court may take judicial notice of property records under Evidence Code section 452, subdivision (c) and (h). (See *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 264, disapproved of on other grounds by *Yvanova v. New Century Mortg. Corp.* (2016) 62 Cal.4th 919 [stating that "a court may take judicial notice of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face" (emphasis added)].) Thus, the Court can take judicial notice of Exhibit 3.

The Court will take judicial notice of Exhibit 4 under Evidence Code section 452, subdivision (h). (See *O'Gara Coach Co., LLC v. Ra* (2019) 30 Cal.App.5th 1115, 1121, fn. 2.)

Plaintiff requests judicial notice of Exhibits 5 and 6 as factual articles regarding the subject matter of the litigation. However, his reliance on Seelig v. Infinity Broadcasting Corp. (2002) 97 Cal.App.4th 798, 807, fn. 5, which took judicial notice of new articles discussing the television program at issue and found that "the fact that the new articles discussing the topics provoked by the Show were published is not reasonably subject to dispute", is unavailing because Plaintiff relies on the Exhibits for the truth of the statements contained therein, not just that Williams was being discussed. Therefore, the Court declines to take judicial notice of Exhibits 4 & 5.

Lastly, Judicial notice of Exhibit 8 is proper under Evidence Code section 452, subdivision (c).

Thus, Plaintiff's request is GRANTED as to Exhibits 1-3, 7-9, and DENIED as to Exhibits 4 and 5.

B. Procedural Issues

Plaintiff contends this motion is improper because Williams generally appeared after his first motion to quash was denied.

Section 418.10 governs motions to quash for lack of personal jurisdiction (subdivision (a)(1)) and forum non conveniens motions (subdivision (a)(2)), as well as motions to dismiss for delay in prosecution (subdivision (a)(3)). Subdivision (d) of section 418.10 provides that "no motion under this section, … or application to the court or stipulation of the parties for an extension of the time to plead, shall be deemed a general appearance by the defendant." Subdivision (e) provides that a defendant may make a motion under section 418.10 "and simultaneously answer, demur, or move to strike the complaint …":

> [N]o act by a party who makes a motion under this section, including filing an answer, demurrer, or motion to strike constitutes an appearance, unless the court denies the motion made under this section. If the court denies the motion made under this section, the defendant or cross-defendant is not deemed to have generally appeared until entry of the order denying the motion.

(Code Civ. Proc., § 418.10, subd. (e)(1).)

"Failure to make a motion under this section at the time of filing a demurrer or motion to strike constitutes a waiver of the issues of lack of personal jurisdiction, inadequacy of process, inadequacy of service of process, inconvenient forum, and delay in prosecution." (Code Civ. Proc., § 418.10, subd. (e)(3).)

Plaintiff attempts to rely on Section 418.10, subdivision (e)(1), in order to argue that Williams has made a general appearance in this matter. However, that section pertains to situations where the defendant files a motion to quash along with a demurrer, motion to strike, or an answer. Williams filed both motions to quash alone. Plaintiff fails to provide any binding authority which states Williams is precluded from filing a second motion to quash for lack of personal jurisdiction if his first motion to quash service is denied. Thus, the motion cannot be denied on this basis and the Court will address the merits of the motion.

C. Evidentiary Objections

Williams submits evidentiary objections to Exhibits A-C, E-K, and M attached to Plaintiff's counsel Nathan Schaffer's declaration in support of Plaintiff's opposition and Plaintiff's request for judicial notice Exhibit 1-7 and 9.

The objections to Exhibit B, C, H, I, M, 5, 6, and 7 are SUSTAINED.

The objections to Exhibit E, F, G, J, K, 1, 2, 3, 4 are OVERRULED.

D. Legal Standard

A defendant may specially appear and file a motion to quash for service for lack of personal jurisdiction under Code of Civil Procedure section 418.10, subdivision (a)(1). "[W]here a defendant properly moves to quash service of summons the burden is on the plaintiff to prove facts requisite to the effective service." (*Sheard v. Super. Ct.* (1974) 40 Cal.App.3d 207, 211.) "[T]he burden of proof is upon the plaintiff to establish the facts of jurisdiction by a preponderance of the evidence." (*Evangelize China Fellowship, Inc. v. Evangelize Ching Fellowship Hong Kong* (1983) 146 Cal.App.3d 440, 444.) The plaintiff must provide affidavits and other authenticated documents to demonstrate competent evidence of specific evidentiary facts that would permit a court to form an independent conclusion on the issue of jurisdiction. (*In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 113

(*In re Automobile Antitrust Cases I & II*).) Allegations in an unverified complaint are insufficient to satisfy this burden of proof. (Id.)

Evidence of the jurisdictional facts or their absence may be in the form of declarations. "Where there is a conflict in the declarations, resolution of conflict by the trial court will not be disturbed on appeal if the determination is supported by substantial evidence. However, where the evidence of jurisdictional facts is not conflicting, the question of whether a defendant is subject to personal jurisdiction is one of law. (*Elkman v. National States Ins. Co.* (2009) 173 Cal.App.4th 1305, 1312-1313 (*Elkman*); see also *Greenwell v. Auto-Owners Ins. Company* (2015) 233 Cal.App.4th 783, 789 (*Greenwell*), citing *Elkman*.)

Under the minimum contacts test, personal jurisdiction may be either general or specific. (*Snowney v. Harrah's Entertainment, Inc.* (2005) 35 Cal.4th 1054, 1062 (*Snowney*).) Where general jurisdiction exists due to a non-resident defendant's "continuous and systematic" activities in a state, the defendant can be sued on causes of action not related to its activities within the state. (*Cornelison v. Chaney* (1976) 16 Cal.3d 143, 147.) Absent the showing adequate to confer general jurisdiction, a defendant may still be subject to specific jurisdiction, meaning "jurisdiction in an action arising out of or related to the defendant's contacts with the forum state." (*Healthmarkets, Inc. v. Super. Ct.* (2009) 171 Cal.App.4th 1160, 1167.)

If a non-resident defendant's contacts with California are not sufficient for general jurisdiction, it may still be subject to California's specific personal jurisdiction if a three-prong test is met. First the defendant must have purposefully availed itself of the state's benefits. Second, the controversy must be related to or arise out of the defendant's contacts with the state. Third, considering the defendant's contacts with the state and other factors, California's exercise of jurisdiction over the defendant must comport with fair play and substantial justice. (*Pavlovich v. Super. Court* (2002) 29 Cal.4th 262, 269.) The plaintiff bears the burden of establishing the first two requirements. If the plaintiff does so, the burden shifts to the defendant to show that California's exercise of jurisdiction would be unreasonable. (See *Greenwell*, supra, 233 Cal.App.4th at 792.)

E. DISCUSSION

Williams argues there is no general or specific personal jurisdiction over him, and he is not subject to jurisdiction due to the fiduciary shield doctrine.

(1) Fiduciary Shield Doctrine

The "fiduciary shield doctrine" provides that nonresident individuals should not be subject to jurisdiction if their conduct in the forum state was solely in a corporate capacity. (*Taylor-Rush v. Multitech Corp.* (1990) 217 Cal.App.3d 103, 115.) Under the fiduciary shield doctrine, "for jurisdictional purposes the acts of corporate officers and directors, in their official capacities, are exclusively of (qua) the corporation, and are thus not material for purposes of establishing minimum contacts to individuals." (*Mihlon v. Superior Court* (1985) 169 Cal.App.3d 703, 713.) However, fiduciary shield doctrine may not be applied to defeat personal jurisdiction over a corporate officer for an act for which they "would be personally liable" and which "in fact creates contact between the officer and the forum state." (*Seagate Technology v. A. J. Kogyo Co.* (1990) 219 Cal.App.3d 696, 703-704.)

Williams argues he was at all times the founder and chief scientist of the Foundation and he acted for the benefit of the Foundation. (MPA, p. 20:12-13.) While Wiliams states he currently holds no employment with Dfinity, he does not state that he never held any employment with Dfinity. (Wiliams Decl., ¶ 18.) This does not contradict Plaintiff's allegation that Williams was the CEO of Dfinity at the time of the events. (See Complaint, ¶ 23 ["At all relevant times, Wiliams has worn multiple hats, as the Founder and Chief Scientist of the non-party Foundation and the CEO of Dfinity"].) Moreover, Plaintiff alleges conduct by Williams for which he can be personally liable. Thus, fiduciary shield doctrine is not available here.

(2) General Jurisdiction

"The standard for general jurisdiction is considerably more stringent than that for specific jurisdiction. A defendant is subject to general jurisdiction when it has substantial, continuous, and systematic contacts in the forum states, i.e., its contacts are so wide-ranging that they take the place of a physical presence in the state. In assessing a defendant's contacts with the forum for purposes of general jurisdiction, we look at the contacts as they existed from the time the alleged conduct occurred to the time of service of summons." (*Strasner v. Touchstone Wireless Repair & Logistics, LP* (2016) 5 Cal.App.5th 215, 222-223 (*Strasner*).)

Williams argues the Court lacks general jurisdiction over Williams. (MPA, p.13:12-14.) It appears Plaintiff concedes this point because he fails to address general jurisdiction in his opposition. (See *Glendale Redevelopment Agency v. Parks* (1993) 18 Cal.App.4th 1409, 1424 [point impliedly conceded by failure to address it]; *DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue."].) As a result, Plaintiff fails to meet his burden to establish general jurisdiction.

(3) Specific Jurisdiction

"When determining whether specific jurisdiction exists, courts consider the relationship among the defendant, the forum, and the ligation." (*Pavlovich v. Superior Court* (2002) 29 Cal.4th 262, 269 (*Pavlovich*).) "A court may exercise specific jurisdiction over a nonresident defendant only if: (1) the defendant has purposefully availed himself or herself of forum benefits; (2) the controversy is related to or arises out of the defendant's contacts with the forum; and (3) the assertion of personal jurisdiction would comport with fair play and substantial justice." (*Ibid*.)

"Where a nonresident defendant challenges a trial court's exercise of personal jurisdiction, the plaintiff bears the initial burden to demonstrate facts justifying the exercise of jurisdiction. To meet this burden, a plaintiff must do more than make allegations. A plaintiff must support its allegations with 'competent evidence of jurisdictional facts. Allegations in an unverified complaint are insufficient to satisfy this burden of proof.' If the plaintiff makes this showing by a preponderance of the evidence on the first two requirements (i.e., that the defendant has purposefully availed itself of the forum and the plaintiff's claims relate to or arise out of the defendant's forum related contacts), the burden shifts to the defendant to demonstrate that the exercise of jurisdiction would be unreasonable." (*Rivelli v. Hemm* (2021) 67 Cal.App.5th 380, 393 (*Rivelli*).)

a. Purposeful Availment

"An out-of-state defendant purposefully avails itself of a forum state's benefits if the defendant (1) purposefully directs its activities at the forum state's residents, (2) purposefully derives a benefit from its activities in the forum states, or (3) purposefully invokes privileges and protections of the forum state's laws by (a) purposefully engaging in 'significant activities' within the forum states or (b) purposefully creating 'continuing [contractual] obligations' between itself and the residents of the forum state. Purposeful availment can occur from afar; the out-of-state defendant's physical presence in the forum state is not required." (*Jacqueline B. v. Rawls Law Group, P.C.* (2021) 68 Cal.App.5th 243, 253 (*Jacqueline*).)

"As the name and definition of purposeful availment make plain, an out-of-state defendant's conduct toward the forum State or its residents is relevant to the jurisdictional analysis only if that conduct is purposeful, deliberate, and intentional. [Citations.] An out-of-state defendant's contact with a forum state that is 'random' 'fortuitous' or 'attenuated' is not enough. [Citations.] This is why the mere fact that the out-of-state defendant's conduct has some 'effect' on a California resident is not enough, by itself, to constitute purposeful availment [citations]; to count, that effect must be intended [citations]." (*Jacqueline B.*, *supra*, 68 Cal.App.5th at p. 254.)

Plaintiff contends the Court has specific jurisdiction over Williams because his conduct occurred in Palo Alto and the bulk of his tortious conduct occurred while he lived and worked in California. (Opp., p. 11:7-9.) Specifically, Plaintiff argues, while in California, Williams: (1) developed and orchestrated the ICP; (2) personally promoted, fundraised, and solicited investments for the ICP Network; (3) assured Plaintiff that he could access the Tokens notwithstanding his inability to access his password; (4) acted to interfere with Plaintiff's access to the Tokens; and (5) cashed in on the tortious conduct by trading Tokens on and immediately after the launch day, in such a way that it completely devalued the currency. (Opp., p. 11:10-15.) Williams argues his activities were directed outside the United States. (MPA, p.15: 26-28.) He further argues that Seed Donations were explicitly directed away from the United States, as a whole, and was not open to United States citizens, residents, or those present in the country. (MPA, p.16: 1-3; Williams' Decl., ¶ 32.) It appears Williams purposefully availed himself to the benefits of conducting business in California.

b. Controversy Arising out of Defendant's Contacts with California

California uses a "substantial connection" test in determining if a controversy is related to a defendant's purported contacts with California which is satisfied if there is a substantial nexus or connection between the defendant's forum activities and the plaintiff's claim. (*Snowney*, *supra*, 35 Cal.4th at p. 1068.) The more significant the forum contacts are, the less related to the cause of action they need to be. (*Ibid*.)

Specific jurisdiction "requires a showing not only that the defendant ' "purposefully directed" ' its activities at the forum but also that 'the litigation results from alleged injuries that "arise out of or relate to" those activities.' [Citation.] There must be 'a connection between the forum and the specific claims at issue.' [Citation.] 'If the operative facts of the allegations of the complaint do not relate to the [nonresident's] contacts in this state, then the cause of action does not arise from that contact such that California courts may exercise specific jurisdiction.' [Citation.]" (*Rivelli*, *supra*, 67 Cal.App.5th at p. 399.) "[T]he forum-relatedness requirement may be supplied only by those contacts with the forum that relate to the specific claims at issue." (*Id.* at p. 400.) "[A] 'substantial connection' between the claim and the forum contacts satisfies forum-relatedness only when consistent with a finding that the claim ' "arises out of or relate[s] to" '[citation] the forum-related activities." (*Id.*)

Here, Williams' contact in California consisted of him living and working in the state. Williams argues Plaintiff's claims arise out of his Seed Donation, his contract with the Foundation, and the alleged breach by Williams in Switzerland. (MPA, p. 17:3-5.) He further argues the claims are inherently contract claims and have nothing to do with Dfinity in California or the United States. (MPA, p.17:11-13.) Plaintiff argues this case pertains to Williams' conduct while in California and his interference with the agreement. (Opp., p. 12:19-21.) Although Plaintiff's claims do involve the agreement, the gravamen of his claims involve Williams' alleged tortious conduct which occurred in California. Thus, the claims arise from Williams' forum related activities.

c. Fair Play and Substantial Justice

"In determining whether the exercise of jurisdiction would be fair and reasonable, so as to satisfy the third requirement for the exercise of specific personal jurisdiction, a court must consider (1) the burden on the defendant of defending an action in the forum, (2) the forum state's interest in adjudicating the dispute, (3) the plaintiff's interest in obtaining relief, (4) ' "the interstate [or international] judicial system's interest in obtaining the most efficient resolution of controversies," ' and (5) the states' or nations' shared interest ' "in furthering fundamental substantive social policies." ' [Citation.] 'These considerations sometimes serve to establish the reasonableness of jurisdiction upon a lesser showing of minimum contacts than would otherwise be required. [Citations.] On the other hand, where a defendant who purposefully has directed his activities at forum residents seeks to defeat jurisdiction, he (or she) must present a compelling case that the presence of some other considerations would render jurisdiction unreasonable.' [Citation.]" (*Anglo Irish Bank Corp., PLC v. Super. Ct.* (2008) 165 Cal.App.4th 969, 979-980.)

Williams argues that fair play and substantial justice favor Swiss courts over California courts. (MPA, p. 17:23-25.) However, the gravamen of Plaintiff's claims is Defendants' alleged tortious conduct. He further argues that it would be burdensome for him to litigate in California when Switzerland is home to Williams and the Foundation, and documents and witnesses are located there. (MPA, p. 18:6-9.) The Court notes that much of the alleged conduct occurred in California so it is likely that some witnesses and documents will be more easily obtained in California. The international judicial system has an interest in efficiently resolving this controversy and given that the Foundation is not a party to this matter, it may be more efficient for Plaintiff to bring a case against Williams and the Foundation in Switzerland. Plaintiff argues his claims arose from misconduct in California, thus, it would not be unfair to litigate them in California. (Opp., p.12:20-25.) Plaintiff has a significant interest in obtaining relief. Moreover, California has an interest in adjudicating disputes that arise from misconduct in the State.

In balancing the interests, it appears to the Court that it would not be unreasonable to exercise jurisdiction over Williams given that the conduct at issue in this case occurred while he was doing business in California. Thus, Williams' motion to quash is DENIED.

III. DFINITY'S DEMURRER

A. Requests For Judicial Notice

(1) Dfinity's Request

DFINITY requests judicial notice of the following items:

(1) The Agreement: Exhibit 1;

(2) Foundation Donations Contract: Exhibit 2;

(3) Swiss Foundation Code: Exhibit 3;

(4) Entity Details for DFINITY USA: Exhibit 4;

(5) Statement of Information, filed October 21, 2022: Exhibit 5; and

(6) Affidavit of Lost Seed Phrase and Agreement to Indemnify: Exhibit 6.

The Court is permitted to take judicial notice of agreements that are referenced in a complaint. (*Align Technology Inc. v. Tran* (2009) 179 Cal.App.4th 949, 956, fn. 6 [taking judicial notice of a settlement agreement referenced in the complaint]; *Chacon v. Union Pacific Railroad* (2020) 56 Cal.App.5th 565, 572 ["The existence and contents of a written agreement may be the proper subject of judicial notice if there is no factual dispute that the document is genuine and accurate].) Plaintiff does not object to judicial notice of Exhibits 1, 2, and 6.

The business entity details and corporate records are generally proper subjects of judicial notice pursuant to Evidence Code section 452, subdivision (h). (See *Gamet v. Blanchard* (2001) 91 Cal.App.4th 1276, 1286-1287 [taking judicial notice of the Secretary of State's domestic corporate certificate of filing and suspension]; see also *Pedus Bldg. Servs. V. Allen (*2002) 96 Cal.App.4th 152, 156, fn. 2 [taking judicial notice of official records of the California Secretary of State]; *O'Gara Coach Co., LLC v. Ra* (2019) 30 Cal.App.5th 1115, 1121, fn. 2 [taking judicial notice of documents filed with the Secretary of State].) Thus, the Court is permitted to take judicial notice of Exhibits 4 and 5. However, the manager and member name section of Exhibit 5 shows Artia Moghbel was stricken from the document but, Dfinity offers no explanation nor does it provide a copy of Dfinity's Statement of Information without that. Thus, judicial notice of exhibit 5 is denied.

Lastly, Dfinity USA requests judicial notice of the Swiss Foundation Code on the basis that it is foreign law. However, the Swiss Foundation Code is not itself any foreign law but rather, it is titled, "Swiss Foundation Code; Principles and Recommendations for the Establishment and Management of Gran-making Foundations." Thus, Dfinity's request for judicial notice is GRANTED as to exhibits 1, 2, 4, and 6, and it is DENIED as to exhibits 3 and 5.

(2) Plaintiff's Request

Plaintiff request documents filed in Daniel Valenti v. Dfinity USA Research LLC, et al. (United States District Court, Northern District of California, Case No. 3:21-cv-06118-JD): Exhibit 1.

While the Court can take judicial notice of the existence of a court document, "with respect to any and all court records, the law is settled that "the court will not consider the truth of the documents contents unless it is an order, statement of decision, or judgment. [Citation.]" (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374-375.) Plaintiff requests judicial notice of the document for the truth of the statements therein. Thus, Plaintiff's request is DENIED.

B. Legal Standard

As relevant to the instant case, "[t]he party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state facts sufficient to constitute a cause of action." (Code Civ. Proc. § 430.10, subd. (e).) A demurrer may be utilized by "[t]he party against whom a complaint [ ] has been filed" to object to the legal sufficiency of the pleading as a whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The Court in ruling on a demurrer treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on a demurrer, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.)

C. DISCUSSION

Dfinity demurs to the Defendant demurs to each cause of action on the grounds of uncertainty and failure to state a claim. (See Code Civ. Proc., § 430.10, subds. (e) & (f).)

(1) Uncertainty

Uncertainty is a disfavored ground for demurrer; it is typically sustained only where the pleading is so unintelligible and uncertain that the responding party cannot reasonably respond to or recognize the claims alleged against it. (See *Khoury v. Maly's of Cal, Inc.* (1993) 14 Cal.App.4th 612, 616 (Khoury).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Ibid*.)

"[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.)

Dfinity argues Plaintiff's complaint is uncertain because, at times, he fails to identify exactly which defendant he is referring to. (MPA, p. 17:1-3.) Dfinity further argues Plaintiff fails to sufficiently allege fraud with the requisite particularity. (MPA, p. 17:17-19.) However, it appears Defendants are conflating uncertainty as a basis for demurrer with the failure to plead sufficient facts to state a claim as the basis for demurrer. (See *Buter v. Sequiera* (1950) 100 Cal.App.2d 143, 145-146 ["[a] special demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but it is directed at the uncertainty existing in the allegations already made"].) Moreover, the Complaint is not so unintelligible that Dfinity cannot reasonably respond to it. (See *Khoury, supra*, 14 Cal.App.4th at p. 616.) Thus, Dfinity's demurrer on the basis of uncertainty is OVERRULED.

(2) Joinder

Dfinity argues the Complaint must be dismissed because Plaintiff has not and can not name the Foundation.

Code of Civil Procedure section 430.10, subdivision (d), provides, "a defect or misjoinder of parties" as a basis for demurrer. Code of Civil Procedure section 389, provides,

> A person who is subject to service of process and whose joinder will not deprive the court of jurisdiction over the subject matter of the action shall be joined as a party in the action if (1) in his absence complete relief cannot be accorded among those already parties or (2) he claims an interest relating to the subject of the action and is so situated that the disposition of the action in his absence may (i) as a practical matter impair or impede his ability to protect that interest or (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of his claimed interest. If he has not been so joined, the court shall order that he be made a party.

(Code Civ. Proc. §389, subd. (a).)

In deciding whether a person or entity is a necessary party, "we analyze the three distinct parts, or clauses, of section 389, subdivision (a). Clause (1) stresses the desirability of joining those persons in whose absence the court would be obliged to grant partial or 'hollow' rather than complete relief to the parties before the court. The interests that are being furthered here are not only those of the parties, but also that of the public in avoiding repeated lawsuits on the same essential subject matter. Clause (2)(i) recognizes the importance of protecting the person whose joinder is in question against the practical prejudice to him which may arise through a disposition of the action in his absence. Clause (2)(ii) recognizes the need for considering whether a party may be left, after the adjudication, in a position where a person not joined can subject him to a double or otherwise inconsistent liability." (*Countrywide Home Loans, Inc. v. Superior Court* (1999) 69 Cal.App.4th 785, 792 – 793 (Countrywide).)

"The complete relief clause requires joinder when nonjoinder precludes the court from effecting relief not in some overall sense, but between extant parties. In other words, joinder is required only when the absentee's nonjoinder precludes the court from rendering complete justice among those already joined. . . . Properly interpreted, [the complete relief clause] is not invoked simply because some absentee may cause future litigation. The effect of a decision in the present case on the absent party is immaterial under the complete relief clause. The fact that the absentee might later frustrate the outcome of the litigation does not by itself make the absentee necessary for complete relief. The complete relief clause does not contemplate other potential defendants, or other possible remedies. Simply put, the term complete relief refers only to relief as between the persons already parties, and not as between a party and the absent person whose joinder is sought." (*Countrywide, supra,* 69 Cal.App.4th at pp. 793 – 794 [emphasis added, internal quotation marks and citations omitted].)

"Clause (2) of section 389, subdivision (a), requires joinder, if feasible, where an absentee claims an interest relating to the subject of the action, and nonjoinder could pose a risk of harm to the absentee or an existing party." (*Countrywide, supra*, 69 Cal.App.4th at p. 795.) "To the extent that the [non-joined party] and defendants share the same goal with respect to the outcome of the litigation, the [non-joined party's] interests are less likely to be impaired or impeded." (*Id*. at p. 796; see also *Deltakeeper v. Oakdale Irrigation Dist.* (2001) 94 Cal.App.4th 1092, 1102 (*Deltakeeper*)—"A party's ability to protect its interest is not impaired or impeded as a practical matter where a joined party has the same interest in the litigation.")

Finally, "[u]nder clause (2)(ii) of section 389, subdivision (a), joinder would be required if … the action would expose defendants to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations. A 'substantial risk' means more than a theoretical possibility of the absent party's asserting a claim that would result in multiple liability. The risk must be substantial as a practical matter." (*Countrywide, supra,* 69 Cal.App.4th at p. 796 [internal quotation marks and citations omitted].

Dfinity argues any claims against the Foundation are governed by Swiss law and must be filed in Switzerland. (MPA, p.18:2-3.) It further argues the claims arise from Plaintiff's contract with the Foundation, thus, the Foundation will be directly affected by Plaintiff's claims. (MPA, p. 18:21-25.) Additionally, it argues that the Foundation is an indispensable party and its rights are implicated by Plaintiff's claims. (MPA, p. 18:25-26.) Plaintiff argues that Dfinity fails to argue the Foundation is a necessary party. (Opp., p.14:8-9.) Plaintiff further argues that he does not seek anything from the Foundation and complete relief can be awarded even if the Foundation is not joined. (Opp., p. 14:24-25.)

If such a person cannot be joined, "the court shall determine whether in equity and good conscience the action should proceed among the parties before it, or should be dismissed without prejudice, the absent person thus regarded as indispensable. The factors to be considered by the court include: (1) to what extent a judgment rendered in the person's absence might be prejudicial to him or those already parties; (2) the extent to which, by protective provisions in the judgment, by the shaping of relief, or other measures, the prejudice can be lessened or avoided; (3) whether a judgment rendered in the person's absence will be adequate; (4) whether the plaintiff or cross-complainant will have an adequate remedy if the action is dismissed for nonjoinder." (Code Civ. Proc., § 389, subd. (b).)

The Court has "substantial discretion in considering which factors weigh and how heavily to emphasize certain considerations in deciding whether the action should go forward in the absence of someone needed for a complete adjudication of the dispute. The subdivision (b) factors are not arranged in a hierarchical order, and no factor is determinative or necessarily more important than another." (*Dreamweaver Andalusian, LLC v. Prudential Ins. Co. of America* (2015) 234 Cal.App.4th 1178, 1176-1177.)

The Foundation has not participated in this matter, thus, it has not claimed an interest in it and Dfinity cannot claim an interest on the Foundation's behalf. (See *Hartenstine v. Superior Court* (1987) 196 Cal.App.3d 206, 222.) Moreover, it is undisputed that it is the Foundation's subsidiary. Therefore, it appears the Foundation's interests can be represented in this matter. Furthermore, Dfinity states the Foundation cannot be joined in this matter because "any claims against [it] are governed by Swiss law and must be filed in Switzerland where the Foundation is "domiciled." (MPA, p. 18:2-3.) Therefore, it appears Plaintiff will have no remedy against Dfinity if this action is dismissed for nonjoinder. Dfinity contends the Foundation will be prejudiced by any judgment rendered in this matter. Plaintiff asserts that he does not seek anything from the Foundation in this matter, thus, a judgment in the

Foundation's absence would be adequate. In weighing the factors, it appears that the Court can completely adjudicate Plaintiff's claims against Dfinity without the Foundation. Thus, the demurrer cannot be sustained on this basis.

(3) Economic Loss Rule

The economic loss rule provides, "where a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses." (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*).) The rule requires a purchaser to recover solely in contract for purely economic loss due to disappointed expectations, unless the purchasers can demonstrate harm above and beyond a broken contractual promise. (*Id.* at p. 988.)

In general, there is no recovery in tort for negligently inflicted "economic losses." (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 400.) "Quite simply, the economic loss rule prevents the law of contract and the law of tort from dissolving one into the other." (*Robinson Helicopter, supra,* 34 Cal.4th at p. 988.) "Not all tort claims for monetary losses between contractual parties barred by the economic loss rule. But such claims are barred when they arise from—or are not independent of—the parties' underlying contracts." (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 923.)

Dfinity argues Plaintiff's tort claims are barred by the economic loss rule because they arise from his "purported entitlement to the Tokens under his contract with the Foundation." (MPA, p. 15:27-28.) But Plaintiff and Dfinity are not in contractual privity with one another, thus, they have no contract for Plaintiff's claims to arise out of. Moreover, in Robinson Helicopter, the California Supreme Court explicitly carved out an exception to this rule, holding that the rule does not bar claims for fraud and intentional misrepresentations, which are independent of the allegedly breached contract. (*Robinson Helicopter, supra*, 34 Cal.4th at p. 991.) Plaintiff alleges Williams used Dfinity to facilitate his alleged fraudulent conduct against him. Therefore, the economic loss rule is not applicable here and the demurrer cannot be sustained on this basis.

(4) Nature of Plaintiff's Claims and His Standing

"An individual may not maintain an action in his own right against the directors for destruction of or diminution in the value of the stock." (*Rankin v. Frebank Co.* (1975) 47 Cal.App.3d 75, 95.)

Dfinity argues Plaintiff's claims are derivative in nature and he lacks standing to bring this action. (MPA, p.16:19-20.) While Plaintiff does allege the loss of value of the Tokens, it appears his claims are largely based on Defendants' conduct against him personally. For example, he alleges that some donors were able to receive their Tokens, while he specifically was prevented from doing so. (See Complaint, ¶¶ 14-15.) This is an individual harm for which he can bring an individual claim. Thus, the demurrer cannot be sustained on this basis.

(5) First and Second Causes of action: Tortious Interference with Contract and Prospective Economic Advantage

The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 55; *Tuchscher Development Enterprises, Inc. v. San Diego Unified Port Dist.* (2003) 106 Cal.App.4th 1219, 1239; see also CACI, No. 2201.)

The elements for the tort of intentional interference with prospective economic advantage "are usually stated as follows: (1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant." (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1153 (*Korea*).)
"Only a stranger to [the] contract may be liable for interfering with it." (*Mintz v. Blue Cross of California* (2009) 172 Cal.App.4th 1594, 1603.) A contracting party or its agent are not strangers to a contract and therefore cannot be held liable for tortious interference. (Id. at p. 1604.) A stranger to the contract could be a defendant that has an economic or social interest

in the contractual relationship but "who is not a party to the contract or an agent of a party to the contract." (*Caliber Paving Company, Inc. v. Rexford Industrial Realty Management, Inc.* (2020) 54 Cal.App.5th 175, 177.)

Dfinity argues this claim is deficient because it is not a "stranger to" the Foundation or some unrelated party. (MPA, p.10:22-24.) Plaintiff argues there are no allegations that Dfinity was operating as the Foundation's agent. (Opp., p. 7:17-19.)

a. Agency

"An agent is one who represents another, called the principal, in dealings with third persons. Such representation is called agency." (Civ. Code, § 2295.) "'An agency relationship "may be implied based on conduct and circumstances." ' " (*Ralphs Grocery Co. v. Victory Consultants, Inc.* (2017) 17 Cal.App.5th 245, 262, internal citations omitted.) "It is a settled rule of the law of agency that a principal is responsible to third persons for the ordinary contracts and obligations of his agent with third persons made in the course of the business of the agency and within the scope of the agent's powers as such, although made in the name of the agent and not purporting to be other than his own personal obligation or contract." (*Daniels v. Select Portfolio Servicing, Inc*. (2016) 246 Cal.App.4th 1150, 1178.) "For an agency relationship to exist, the asserted principal must have a sufficient right to control the relevant aspect of the purported agent's day-to-day operations." (*Barenborg v. Sigma Alpha Epsilon Fraternity* (2019) 33 Cal.App.5th 70, 85.) "The existence of an agency relationship is a factual question for the trier of fact." (*Garlock Sealing Techs., LLC v. NAK Sealing Techs. Corp.* (2007) 148 Cal.App.4th 937, 965 (*Garlock Sealing Techs*).) "Only when the essential facts are not in conflict will an agency determination be made as a matter of law." (*Wickham v. Southland Corp*. (1985) 168 Cal.App.3d 49, 55 (*Wickham*).)

In response to Plaintiff's argument, Dfinity argues that Plaintiff has alleged Dfinity was an agent under the "control test" and the "representative services test." (Reply, p. 5:10:27; p. 6:7-28.)

"As a practical matter, the parent must be shown to have moved beyond the establishment of general policy and direction for the subsidiary and in effect taken over performance of the subsidiary's day-to-day operations in carrying out that policy." (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 542 (*Sonora Diamond Corp.*).)

The Complaint alleges that Williams was the CEO of Dfinity, but it does not allege that Dfinity acted as the Foundation's agent. The Court is not persuaded by Dfinity attempt to use Plaintiff's allegations that Williams wholly controlled the Foundation and ICP Network to establish that Dfinity was the Foundation's agent. There are no allegations that the Foundation took over performance of Dfinity's day-to-day operations. Therefore, whether Dfinity was the Foundation's agent cannot be resolved as a matter of law at this time. (See *Wickham, supra*, 168 Cal.App.3d at p. 55.) Thus, Dfinity fails to establish that it was not a "stranger to" the parties and the contract, such that it cannot be held liable for its alleged tortious interference.

The Complaint alleges there was a contract between Plaintiff and the Foundation. (Complaint, ¶ 193.) It alleges Defendants knew about the contract, they intentionally interfered with contractual relationship, the relationship was disrupted, and Plaintiff was harmed as a result. (See Complaint, ¶¶ 203, 206-209, 210-211.) Additionally, Plaintiff alleges he had an economic relationship with the Foundation, Defendants knew of the relationship, they took intentional acts to disrupt the relationship, the relationship was disrupted, and Plaintiff was harmed as a result. (Complaint, ¶¶ 224, 225-230.) This is sufficient to state Plaintiff's claims for tortious interference. Thus, Dfinity's demurrer to the first and second causes of action is OVERRULED.

(6) Third Cause of Action: Breach of Fiduciary Duty

Plaintiff is no longer pursuing the breach of fiduciary claim against Dfinity, thus, the Court will address Dfinity's arguments as to the remaining claims. (See Opp., p. 1, fn. 1.) Thus, Dfinity's demurrer to the third cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

(7) Fourth Cause of Action: Conversion

Conversion is the wrongful exercise of dominion over the property of another. (*Plummer v. Day/Eisenberg, LLP* (2010) 184 Cal.App.4th 38, 45.) The elements of a conversion are (1) the plaintiff's ownership or right to possession of the property at the time of the conversion; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Ibid*.) "Conversion requires affirmative action to deprive another of property, not a lack of action." (*Spates v. Dameron Hospital Assn* (2003) 114, Cal.App.4th 208, 222.) It is not necessary that there be a manual taking of the property; it is only necessary to show an assumption of control or ownership over the property, or that the alleged converter has applied the property to his own use. (*Oakdale Village Group v. Fong* (1996) 43 Cal.App.4th 539, 544.)

To the extent Dfinity argues intangible items cannot be used to state this claim, courts have increasingly allowed for conversion to cover intangible property. (*Welco v. Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 211.) Thus, the Tokens may be the subject of Plaintiff's claims.

Next, Dfinity argues Plaintiff fails to allege that Dfinity wrongfully obtained, converted, or even possessed the Tokens. (MPA, p. 13:27-28.) It further argues it did not exist at the time Plaintiff made his Seed Donation to the Foundation. (MPA, p.14:2-3.) Plaintiff argues his claim is not based on Dfinity obtaining his ETH but rather on Dfinity exercising improper dominion over his 5,188, 487 Tokens. (Opp., p. 10:1-2.)

Dfinity argues Plaintiff lost his seed phrase, which caused his inability to access his Tokens. However, Plaintiff alleges he was unable to "access and save his phrase due to a bug in the ICP Chrome extension that was supposed to provide the phrase." (See Complaint, ¶ 127.) He further alleges Williams assured him that it was a non-issue and would have no impact on his ability to access and sell his Tokens. (Complaint, ¶ 128.) Additionally, Plaintiff alleges Defendants intentionally interfered with his right to possess the Tokens by, among other things, imposing technological roadblocks that made it difficult, if not impossible to access the Tokens, and have refused to return it. (See Complaint, ¶¶ 237-241, 244-248.) Therefore, whether Plaintiff had the right to possess the Tokens is a question of fact that cannot be resolved on demurrer.

Lastly, Dfinity argues it could never have been in possession of Plaintiff's Tokens because it was formed six months after the contract was executed. But, Plaintiff alleges Defendants have control of the Neuron(s) that contain the Tokens and the Court must accept this as true for the purposes of demurrer. (See Complaint, ¶ 246; *Olson v. Toy* (1996) 46

Cal.App.4th 818, 823.) Therefore, Plaintiff alleges sufficient facts to state a claim for conversion. (See Complaint, 237-241.) Thus, Dfinity's demurrer to the fourth cause of action is OVERRULED.

(8) Fifth Cause of Action: Trespass to Chattels

"[T]respass to chattels 'lies where an intentional interference with the possession of personal property has proximately caused injury' [citation], but the interference is ' "not sufficiently important to be classed as conversion" ' [citation]. 'Though not amounting to conversion,' in an action for trespass to chattels 'the defendant's interference must … have caused some injury to the chattel or the plaintiff's right in it.' [Citations.]" (*Berry v. Frazier* (2023) 90 Cal.App.5th 1258, 1271.)

The Court has addressed Dfinity's arguments to this claim above.

Plaintiff alleges Defendants intentionally interfered with his right to possess the Tokens, which caused injury to him. (Complaint, ¶¶ 243-248.) Thus, Dfinity's demurrer to the fifth cause of action is OVERRULED.

(9) Sixth Cause of Action: Unfair Competition (Business and Professions Code, § 17200.)

"The UCL defines 'unfair competition' to 'mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising' and any act prohibited by [Business and Professions Code] section 17500." (*Searle v. Wyndham Int'l* (2002) 102 Cal.App.4th 1327, 1332-1333 (Searle).) "Section 17200 'is not confined to anticompetitive business practices, but is also directed towards the public's right to protection from fraud, deceit, and unlawful conduct. Thus, California courts have consistently interpreted the language of section 17200 broadly." (*South Bay Chevrolet v. General Motor Acceptance Corp.* (1999) 72 Cal.App.4th 861, 877-878 [internal citations omitted].) "The statute prohibits 'wrongful business conduct in whatever context such activity might occur.'" (*Searle*, *supra*, 102 Cal.App.4th at p. 1333.)

Dfinity argues Plaintiff does not identify any section of the statutory scheme which was allegedly violated. (MPA, p.14:28-15:1.) It further argues Plaintiff's allegations do not establish an independent obligation owed to Plaintiff by Dfinity or the failure to undertake a requisite act. (MPA, p. 15:6-8.) However, Dfinity fails to provide any authority that Plaintiff is required to establish either in order to state this claim for the purposes of demurrer. Plaintiff argues he alleges the unfair and unlawful prongs sufficiently. (Opp., p.11:1-6, 8-14.)

Plaintiff alleges Defendants committed acts of unfair competition when they imposed restrictions on his ability to access his Tokens, implemented technological roadblocks, failed to provide a seed phrase, refused to provide him with access to his Tokens. (Complaint, ¶ 250.) He further alleges they committed acts of unlawful conduct by tortious interfering with contract, and committing the torts of conversion and trespass to chattels. (Complaint, ¶ 251.) Therefore, Plaintiff alleges sufficient facts to state this claim. Thus, Dfinity's demurrer to the sixth cause of action is OVERRULED.

IV. CONCLUSION

Williams' motion to quash is DENIED. Dfinity's demurrer is SUSTAINED WITHOUT LEAVE TO AMEND as to the third cause of action and OVERRULED as to first, second, fourth, fifth, and sixth causes of action.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Kobayashi v. Dfinity USA Research LLC, et al.
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